

DEFENCE ELECTRONICS GROWING FAST

Increased defence budget and shift in government policy may provide non-PSU players an opportunity for unprecedented growth

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Contrary to general perception, strategic electronics has already faced a paradigm shift due to participation of private players along with public-sector units (PSUs), even though a major part of the market is yet to explode in the country.

According to Department of Information Technology (DIT), in the year 2007-08, production of strategic electronics in India was approximately Rs 61 billion, showing a growth rate of around 35.6 per cent.

As per Sujoy Ghosh, project director, TATA Power, strategic electronics division, "Defence electronics is a strategic industry—more than mere commerce. Issues of obsolescence, technology denial and restricted trade operate here. Moreover, defence electronics is monopoly—government is the market and the market maker."

In reality, this market is entirely governed by defence policy. In spite of being a continuous victim of terrorism, India's defence policy has remained apparently defensive in orientation. It is only recently that the government has jacked up defence spending by 10 per cent to \$26.4 billion—the steepest hike since partition of the subcontinent to fund a mammoth modernisation programme.

India plans to spend at least \$30 billion additional until 2012 to modernise the military with an immediate purchase of 126 war jets costing \$12 billion followed by ships, submarines, artillery and other hardware in coming years. The government has set aside



\$12 billion for arms purchases during the current fiscal year after the assurance that the armed forces will not face funds shortages in the drive to upgrade material.

Sharadhi Chandra Babu P., vice president (corporate), business development and technology, Axis Aerospace and Technologies, expects that at least one-third of the total defence budget will be spent on capital acquisition. It may attract private players to explore this field more than before.

This, along with a restriction of FDI (not more than 26 per cent), is likely to bring enormous growth opportu-

nity for indigenous strategic electronics manufacturers.

A glimpse into the market

Rapid advances in strategic electronics have radically changed the course of the industry and business. With the government all set to provide hitherto unbelievable licences, this industry is going to be a minefield for the entrepreneurs.

For example, the Tata Power SED, a leading domestic player in strategic electronics recognised for harnessing its systems and engineering capabilities, is emerging as a prime contractor